

THE PRICE SHOULD NOT KNOW WHO YOU ARE

A targeted Michigan framework for data-driven price discrimination that preserves legitimate dynamic pricing, genuine loyalty benefits, and market competition.

NCI RECOMMENDATION / DECISION STANDARD

NCI recommends that lawmakers use the Senate process on HB 6098-6099 to define the total economic offer, cover linkable and inferred data, assign responsibility to both sellers and material pricing vendors, and create auditable records. The framework should expressly preserve bona fide dynamic pricing based on nonpersonal market conditions and genuine loyalty benefits.

Donavan Norman | Founder & Executive Director, Northstar Civic Institute
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Evidence update at a glance

92-15

House vote on HB 6098 and HB 6099 on June 25, 2026; both bills were referred to the Senate Economic and Community Development Committee on July 1. ^[1-4]

Sept. 25

Current deadline for comments on the FTC proposed personalized-pricing enforcement policy. ^[7-8]

250+

Clients served by the pricing intermediaries examined in the FTC staff study; uses described included individualized prices, discounts, promotions, rankings, and product displays. ^[9]

23+

Other states described by the Michigan Attorney General in July 2026 as having enacted similar comprehensive privacy laws. ^[12-13]

What changed since the prior draft

The policy landscape is now clearer, but the central drafting problem remains. HB 6098 and HB 6099 passed the Michigan House on June 25, 2026, by 92-15 votes and were referred to the Senate Economic and Community Development Committee on July 1. SB 991 remains pending in that committee. HB 5771 remains pending in the House Economic Competitiveness Committee. ^[1-6]

At the federal level, the FTC released a proposed enforcement policy on personalized pricing on August 19 and extended the comment deadline to September 25. The Commission states that it does not have general authority to ban personalized pricing in every circumstance, but warns that undisclosed collection or use of personal data to set individualized prices may violate laws it enforces. ^[7-8]

WHY THE UPDATE MATTERS

Michigan is no longer deciding whether surveillance pricing deserves attention. The legislative task is to decide exactly which economic effects, data inputs, actors, evidence, exceptions, and remedies the law will cover.

Define the practice by economic effect

Surveillance pricing should be defined as the material use of personal data - collected directly, purchased, derived, or inferred - to change a consumer's total economic offer. The covered effect can be a higher base price, a mandatory fee, a reduced or withheld generally available discount, or deliberate suppression of a lower-priced substantially similar offer under comparable market conditions.

That definition is narrower than a ban on dynamic pricing. Prices can legitimately vary because of aggregate demand, inventory, season, time, weather, competitor pricing, taxes, actual delivery cost, or geographic operating costs. The legal distinction should turn on whether personal surveillance changes the individual consumer's economic treatment.

FTC staff reported in January 2025 that the intermediaries it examined could draw on precise location, browser history, search and purchase activity, mouse movements, abandoned carts, demographics, and inferred characteristics. The firms worked with

at least 250 clients. The FTC cautioned that some examples were preliminary or hypothetical to protect confidential business information. ^[9]

The data pipeline begins before the price

A pricing rule tied to one sensor or device will age badly. Retail apps, loyalty systems, ad-tech platforms, connected vehicles, payment systems, and data brokers can collect or receive information for navigation, fraud prevention, convenience, analytics, voice assistance, or product personalization. The economic consequence may occur later, after the data has moved to a separate vendor or decision system.

The FTC's January 2026 final order involving General Motors and OnStar illustrates the downstream-use problem. The agency alleged that precise geolocation and driving-behavior information from millions of vehicles was collected, used, and sold without adequate notice and affirmative consent. The order includes a five-year restriction on specified disclosures to consumer reporting agencies and 20-year requirements involving consent, access, deletion, and controls. ^[10]

Walmart's current privacy notice also shows why source-neutral language matters. The notice describes categories that can include precise location, voice interactions, sensory information, online activity, commercial information, and inferences; for the enabled "Hey, Walmart" feature, it states that the app listens for the wake phrase while open and does not retain information before recognizing it. The disclosure does not establish that Walmart uses those data for surveillance pricing. It does demonstrate the range of data categories that may exist inside a modern commercial relationship. ^[11]

POLICY DESIGN RULE

Regulate consequential use, not a particular collection channel. The same rule should apply when data come from an app, device, vehicle, account, household profile, broker, or pricing vendor.

Seven decisions the Senate text should resolve

Decision point	Current risk	Operationally workable resolution
1. Total economic offer	A rule focused on a base-price increase can be avoided through a mandatory fee or withheld discount.	Cover base price, required fees or surcharges, and reduced or withheld generally available benefits.
2. Linkable and inferred data	Traditional identifiers can miss account-, household-, device-, probabilistic-, and proxy-based profiles.	Use a linked or reasonably linkable standard and expressly include observed, purchased, derived, inferred, and pseudonymous data.
3. Aggregate versus individual signals	Purchase history and location can refer either to market conditions or to individualized profiling.	Permit aggregate trends and actual operating costs; distinguish them from a specific person's history or precise-location profile.
4. Loyalty programs	A broad exclusion can turn a loyalty program into an unlimited profiling channel.	Create a conditional safe harbor: genuine benefit, bona fide reference price, disclosed eligibility, and no sensitive-data disadvantage.
5. Seller and vendor duties	A retailer can outsource the decision while retaining the customer relationship.	Keep the seller responsible for the offer and impose duties on vendors that materially operate, supply, or knowingly facilitate the prohibited decision.
6. Evidence and remedies	Public enforcement fails if the pricing decision cannot be reconstructed.	Require limited records, confidential audit access, matched-offer testing, restitution, proportionate penalties, and escalation for repeated or willful violations.
7. Exceptions and effective date	Entity-wide exemptions and a very short effective date can create either loopholes or impractical compliance.	Use conduct-specific exceptions, protect trade secrets from public release, and provide a realistic transition for existing systems and contracts.

Protected-class and proxy data need a clear rule

A system does not need an explicit race, disability, age, sex, income, or other sensitive field to reproduce a risk tied to those characteristics. Location, language, device characteristics, browsing patterns, household composition, and combined inferences can function as proxies. SB 991 places protected-class and device/geolocation data directly in the pricing debate; Michigan

should decide in the statutory text whether direct and proxy use are covered and how intent, materiality, and evidence will be evaluated. ^[5]

This question should be handled carefully. A general pricing statute should not create an undefined disparate-impact test by accident, and it should not displace existing civil-rights law. A workable provision can prohibit direct or knowing proxy use of protected or sensitive information to worsen an offer, preserve other applicable protections, and require regulators to identify the data and decision path supporting a violation.

Enforcement must be capable of reconstructing the offer

The central evidentiary question is comparative: under comparable market conditions, did personal data materially worsen this consumer's offer? A regulator cannot answer that from a privacy notice alone. The record must connect the data categories, system version, reference price or comparison method, applicable market factors, vendor role, and final offer.

Minimum record	Why it matters
Data categories and sources materially used	Shows whether personal, inferred, brokered, device, or location information entered the decision.
Nonpersonal market factors	Distinguishes lawful market-responsive pricing from individualized surveillance pricing.
Reference-price or comparison method	Allows a regulator to determine whether a discount was genuinely offered or selectively withheld.
System and policy version	Pricing systems change; version history is necessary to reconstruct a disputed transaction.
Seller and vendor roles	Prevents responsibility from disappearing across contracts and intermediaries.
Matched-transaction test results	Tests whether similarly situated consumers received materially different offers.

Michigan's July 2026 Supreme Court decision in Attorney General v. Eli Lilly also matters to exemption design. The court rejected a broad regulated-entity approach and directed attention to whether the specific transaction or conduct was authorized by law. A surveillance-pricing exception should follow that conduct-specific logic rather than immunize unrelated pricing practices because a business participates in a regulated industry. ^[14]

The framework should be enforceable and operable

- Preserve bona fide market pricing based on nonpersonal factors applied consistently to similarly situated consumers.
- Protect proprietary source code and trade secrets from public release while preserving confidential access for authorized regulators and auditors.
- Use clear definitions for material factor, generally available benefit, comparable market conditions, and bona fide reference price.
- Avoid treating a buried privacy policy or nominal consent as permission for conduct the statute otherwise prohibits.
- Avoid regulating every recommendation, product ranking, or personalization choice unless it is tied to a covered economic effect.
- Use a practical implementation period for existing systems and vendor contracts, with earlier applicability for newly deployed systems if lawmakers choose.

The total-price concept is consistent with the broader consumer-protection principle that a represented price should include mandatory charges. In March 2026, for example, the FTC warned 97 auto-dealer groups that advertised prices must reflect required fees. That action is not a surveillance-pricing rule, but it demonstrates why mandatory-fee coverage matters when lawmakers define the consumer's economic offer. ^[15]

What Michigan should measure after enactment

1. Complaints and investigations by pricing practice, market, and data source.
2. The share of matters resolved through correction, restitution, penalties, or no violation found.
3. Use of third-party vendors and the frequency of missing or inadequate records.
4. Changes in loyalty-program terms, mandatory fees, reference-price methods, and disclosures.
5. Compliance cost and implementation problems reported by small and large businesses.
6. Evidence of evasion through fees, rankings, selective discounts, account design, or proxy variables.

A review provision after two or three years would let the Legislature test whether the definitions are catching harmful conduct without sweeping in ordinary market pricing.

Bottom line

Michigan can draw a narrow line between legitimate market-responsive pricing and individualized economic treatment driven by personal surveillance. The strongest text will focus on the total offer, modern data relationships, seller and vendor responsibility, auditable evidence, and conduct-specific exceptions. Those choices determine whether the policy works in practice.

Selected authorities and current sources

Legislative status and current-source references were checked September 19, 2026. Pending bills, public-comment proceedings, draft standards, and agency programs may change after publication.

- [1] [Michigan House Bill 6098 - bill history and status](#). House passage June 25, 2026; Senate referral July 1, 2026.
- [2] [Michigan House Bill 6098 - engrossed text](#)
- [3] [Michigan House Bill 6099 - bill history and status](#). House passage June 25, 2026; Senate referral July 1, 2026.
- [4] [Michigan House Bill 6099 - engrossed text](#)
- [5] [Michigan Senate Bill 991 - bill history, text and analysis](#)
- [6] [Michigan House Bill 5771 - bill history and text](#)
- [7] [FTC proposed enforcement policy statement regarding personalized pricing](#). August 19, 2026.
- [8] [FTC extension of personalized-pricing comment deadline](#). Comment deadline extended to September 25, 2026.
- [9] [FTC surveillance pricing 6\(b\) study - initial findings](#). FTC reported that the intermediaries examined worked with at least 250 clients.
- [10] [FTC final order regarding General Motors and OnStar connected-vehicle data](#). January 14, 2026.
- [11] [Walmart Customer Privacy Notice](#). Notice updated August 20, 2026.
- [12] [Michigan Senate Bill 359 - Personal Data Privacy Act proposal](#)
- [13] [Michigan Attorney General statement on SB 359 and state privacy laws](#). The July 14, 2026 statement said at least 23 other states had enacted similar comprehensive privacy laws.
- [14] [Michigan Supreme Court, Attorney General v. Eli Lilly and Company, No. 165961](#). Decided July 31, 2026.
- [15] [FTC warning to auto dealers on advertised total prices](#). March 2026; illustrates the importance of mandatory-fee coverage in price representations.

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